Degree Project in Integrated Product Development MF131X
First Cycle, 15 Credits

A Fairtrade Case Study: Tea Production in Kenya

A study on how actors in a tea value chain in Kenya organize to produce a Fairtrade product

Aina Bergman
Marianne Simani-Lidjan



Degree project in Integrated Product Development
First cycle, 15 ECTS, Course MF131X
TRITA-ITM-EX 2026:189

A Fairtrade Case Study: Tea Production in Kenya

Aina Bergman
Marianne Simani-Lidjan

Examiner	Supervisors
Gunilla Ölundh Sandström	Magnus Eneberg och Gunilla Ölundh Sandström

Abstract

With the growth of sustainable thinking and practices in product development processes, more companies are looking into implementing sustainability standards in the production process. Sustainability standards can be seen as lead actors in global value chain systems, implementing their own requirements throughout the product development process.

Fairtrade is a sustainability certification recognized worldwide. Using Kenyan tea production as a case study, this study aims to investigate Fairtrade's impact on the product development process, why factories and companies choose to obtain a Fairtrade certification, and what required changes arise in the process.

There is extensive research regarding Fairtrade, what the organization does, and critical analyses of the certification system. However, there is limited research regarding how Fairtrade requirements are implemented in practice throughout the product development processes. This forms the basis of this bachelor's thesis.

The qualitative study was conducted through five interviews with four respondents, as well as a field study in Kenya. The field study was necessary in order to understand the production process and gain a two-sided perspective of the case study, which could not have been achieved through online interviews alone.

The study showed that factories mainly choose to obtain a Fairtrade certification due to economic advantages. The premium received from the organization can be allocated towards workers and farmers in order to improve their standards of living. Furthermore, producers gain access to a larger market than before. However, risks with operating a Fairtrade-certified facility were also identified, such as buyers using Fairtrade branding for greenwashing purposes, which remains outside the producers' control.

Furthermore, Fairtrade can be understood as a lead actor within these value chains, setting requirements and influencing the product development process from start to finish.

Keywords

Fairtrade, Global Value Chain, Organizational Collabortion, Sustainability Certification, Standards

Examensarbete Integrerad produktutveckling grundnivå, 15 hp, kurs MF131X
TRITA-ITM-EX 2026:189

En Fairtrade-fallstudie: teproduktion i Kenya

Aina Bergman
Marianne Simani-Lidjan

Examinator	Handledare
Gunilla Ölundh Sandström	Magnus Eneberg och Gunilla Ölundh Sandström

Sammanfattning

Med tillväxten av hållbart tänkande och hållbara arbetssätt inom produktutvecklingsprocesser ser fler företag över möjligheten att implementera hållbarhetsstandarder i produktionsprocesser. Hållbarhetsstandarder kan ses som ledande aktörer inom globala värdekedjesystem, där de implementerar sina egna krav genom hela produktutvecklingsprocessen.

Fairtrade är en hållbarhetscertifiering som är erkänd världen över. Genom att använda kenyansk teproduktion som en fallstudie syftar denna studie till att undersöka Fairtrades påverkan på produktutvecklingsprocessen, varför fabriker och företag väljer att erhålla en Fairtrade-certifiering, samt vilka förändringar som uppstår i produktutvecklingsprocessen till följd av certifieringen.

Det finns omfattande forskning kring Fairtrade, vad organisationen gör och kritiska analyser av certifieringssystemet. Däremot finns det begränsad forskning kring hur Fairtrades krav implementeras i praktiken genom produktutvecklingsprocesser. Detta utgör grunden för denna kandidatuppsats.

Den kvalitativa studien genomfördes genom fem intervjuer med fyra respondenter, samt en fältstudie i Kenya. Fältstudien var nödvändig för att förstå produktionsprocessen och få ett tvåsidigt perspektiv av fallstudien, vilket inte hade kunnat uppnås genom enbart onlineintervjuer.

Studien visade att fabriker främst väljer att erhålla en Fairtrade-certifiering på grund av ekonomiska fördelar. Premien som erhålls från organisationen kan fördelas till arbetare och bönder för att förbättra deras levnadsstandard. Vidare får producenter tillgång till en större marknad än tidigare. Däremot identifierades även risker med att driva en Fairtrade-certifierad verksamhet, såsom att köpare använder Fairtrade-varumärket i greenwashing-syften, vilket ligger utanför producenternas kontroll.

Vidare kan Fairtrade förstås som en ledande aktör inom dessa värdekedjor, där organisationen sätter krav och påverkar produktutvecklingsprocessen från början till slut.

Nyckelord

Fairtrade, Global värdekedja, Organisatoriskt samarbete, Hållbarhetscertifiering, Standard

Acknowledgements

This report is the result of our bachelor thesis conducted within the course Integrated Product Development at the Royal Institute of Technology in Stockholm. In this project, we have worked with Fairtrade and local tea producers in Kenya.

We would therefore like to thank Adrienne Friström at Fairtrade Sweden, who has been very helpful during our interviews and in helping us establish contact with Fairtrade Africa. We would also like to thank all participants involved in the interviews, as well as Nancy Githaiga for her help and hospitality during our visit to Gatunguru Tea Factory.

Finally, we would like to thank our classmates for their feedback and guidance during this peer-review and our supervisor Magnus Eneberg for supporting us throughout our work during the spring of 2026.

Stockholm, May 2026

Aina Bergman Marianne Simani-Lidjan

Contents

1 Introduction **1**

1.1 Background 1

1.2 Aim 2

1.3 Research Questions 2

1.4 Delimitations 2

2 Theoretical Framework **3**

2.1 The Tea Production Process 3

2.2 Integration of Sustainability Requirements in Product Development 3

2.3 Organizational Collaboration in Global Value Chains 4

2.4 Distinction between Production and Product Development 5

2.5 Fairtrade and Sustainability Certificates 5

2.5.1 Sustainability Certification and Standards 5

2.5.2 Certification as a System 6

2.5.3 Standards and Requirements within Fairtrade 6

2.5.4 Organizational Structure and Roles 7

2.6 Incentives for Sustainability Certification 8

3 Method **10**

3.1 Literature Review 10

3.2 AI-disclaimer 10

3.3 Qualitative Study 11

3.3.1 Selection of respondents 11

3.3.2 Semi-structured interviews 11

3.3.3 Empirical Field Study 12

3.4 Data Analysis 12

3.5 Credibility and Reliability Analysis 13

4 Results **14**

4.1 Why actors choose Fairtrade certification . . . 14

4.1.1 Economic motivations . . . 14

4.1.2 Social motivations . . . 14

4.1.3 Environmental motivations . . . 15

4.2 How actors organize to achieve Fairtrade certification . . . 15

4.3 Requirements Placed on Producers at Different Stages of the Production Process . . . 16

4.3.1 Requirements before certification . . . 16

4.3.2 Requirements at farm level . . . 16

4.3.3 Requirements at factory level . . . 17

4.3.4 Requirements at later stages . . . 17

4.4 Challenges and limitations in achieving Fairtrade certification . . . 17

4.5 Field Study . . . 19

4.5.1 Tea Production Process . . . 19

4.5.2 Value chain organization . . . 22

4.5.3 Perceptions of Fairtrade Among Local Actors . . . 22

4.5.4 Fairtrade Requirements in Practice and Observed Benefits . . . 23

4.5.5 Motivations . . . 23

5 Analysis and Discussion **24**

5.1 Fairtrade as a Market Strategy . . . 24

5.2 Organization and Coordination in the Value Chain . . . 25

5.3 Integration of Fairtrade Requirements Throughout the Product Development Process . . . 25

5.4 Why Fairtrade Requirements Emerge at Different Stages . . . 26

6 Conclusions and Future work **28**

6.1 Conclusions . . . 28

6.2 Recommendations and Future Work . . . 28

A Interview Guide – Fairtrade Stockholm **1**

B Interview Guide – Fairtrade Africa **3**

C Interview Guide – Kenyan Tea Producer/Manager **5**

D Translation of Interview Quotations **6**

List of Acronyms and Abbreviations

AI	Artificial Intelligence
CSDDD	Corporate Sustainability Due Diligence Directive
EU	European Union
FA	Fairtrade Africa
FAO	Food and Agriculture Organization of the United Nations
FLOCERT	Fairtrade's independent certification body
FS	Fairtrade Sweden
GBV	Gender-Based Violence
GDP	Gross Domestic Product
GVC	Global Value Chain
KTDA	Kenya Tea Development Agency
NGO	Non-Governmental Organization
SDG	Sustainable Development Goal
UN	United Nations

1 Introduction

The introduction section includes background, aim, research questions and delimitations.

1.1 Background

A multinational company is defined as a company operating in at least two countries. Swedish companies have found it more profitable to establish operations abroad, resulting in a high proportion of multinational companies within Swedish industry (Swedenborg, 1991). As this development continues, questions arise regarding labor rights and their relationship to sustainable economic growth in these countries.

The United Nations Sustainable Development Goal 8, Decent Work and Economic Growth, highlights the importance of labor rights in relation to economic growth (Eurostat, 2016). It includes targets that promote safe working environments and fair wages. The UN (2016) states that sustainable economic growth is achieved when all workers have safe working conditions while minimizing harm to the surrounding environment.

Fairtrade is an international certification organization that promotes fair working conditions for farmers and workers (Fairtrade International, 2018). This is achieved by establishing standards that companies must adhere to in order to counteract unfair trade conditions. Fairtrade standards vary between countries. These standards also influence how companies organize their sourcing and product development processes to ensure that products meet certification requirements. Thus, certification is not merely a label but affects both product development and production.

At the same time, the impact of the brand on consumers and its promises has been questioned (Getz and Shreck, 2006). There is an ongoing debate regarding the extent to which companies can guarantee that products are produced under fair conditions, and whether consumers can rely on these claims in relation to actual working conditions in producing countries. It is therefore relevant to examine the impact of Fairtrade on global commodities. Tea is a global commodity for which demand is increasing. In 2022, global tea consumption per capita increased by 2.5 percent, while production increased by 1.6 percent during the same year (Food and Agriculture Organization of the United Nations, 2022). Tea production primarily takes place in low-income countries. China is the largest producer of green tea, while Kenya is the largest producer of black tea according to Food and Agriculture Organization of the United Nations (2022).

Tea production in Kenya is expected to increase steadily (Food and Agriculture Organization of the United Nations, 2024). Tea accounts for 16.6 percent of the country's total exports, and 94 percent of all tea produced in Kenya is exported. Tea production represents approximately 1.2 percent of Kenya's GDP (Kimitei, 2025), and around 600,000 smallholder farmers contribute to the Kenyan tea sector (Alveus, 2025). The country's income is therefore highly dependent on the tea sector, making it a significant contributor to Kenya's economy (Alveus, 2025). Fairtrade Africa is responsible for the certification of Fairtrade products in Africa (Fairtrade Africa, n.d.). Despite Kenya being one of the leading exporters of tea, only a small proportion of these products are Fairtrade certified. According to Fairtrade's annual report from 2023, 1,563 metric tons of tea were sold as Fairtrade that year (Fairtrade International, 2025). Considering that Kenya produced 2.53 million tons of tea in 2023 (Kimitei, 2025),

Fairtrade-certified tea corresponds to approximately 0.063 percent of the total production. Due to the low amount of Fairtrade certified tea factories in Kenya, it raises questions about what drives certification to Fairtrade.

From an integrated product development perspective, this also raises questions about how different actors in the value chain (such as producers, exporters, certification organizations, and companies selling the products) collaborate within the development process to meet certification requirements. Fairtrade certification can therefore be seen as a factor that influences how companies organize their development and sourcing processes, as well as how sustainability requirements are integrated throughout the product's journey from raw material to finished product. Therefore, there is a need to investigate how this type of certification is integrated into the product development process and how different actors collaborate to achieve Fairtrade certification for their products.

1.2 Aim

The aim of the study is to investigate how different actors in the value chain of tea production in Kenya organize and collaborate to achieve Fairtrade certification, as well as how certification requirements are integrated into the product development process.

1.3 Research Questions

- Why do actors who sell tea produced in Kenya choose to market their products with Fairtrade certification?
- How do different actors within the product development process organize in the value chain to receive a Fairtrade certification?
- What requirements are placed on local producers in Kenya to obtain Fairtrade certification?
- At which stages of the production process do these requirements arise?

1.4 Delimitations

This study is limited to the context of tea production in Kenya. The findings are therefore specific to this particular value chain and geographical setting. This study may not be directly applicable to other agricultural sectors or regions and focuses specifically on Fairtrade certification and its integration within the Kenyan tea value chain, rather than sustainability certifications in general.

2 Theoretical Framework

The theoretical framework presents the process of the Kenyan tea production and how global certification systems such as Fairtrade integrate in the process. This section also shows how different actors collaborate in the global value chains.

2.1 The Tea Production Process

It is necessary to understand how the tea production process works to answer all research questions. Knowing the involved actors and the process provides the foundation for identifying where different actors and certification requirements are integrated.

Tea production is a multi-stage process that transforms fresh tea leaves into a finished product ready for consumption (Feng et al., 2023). The process typically begins with the cultivation and harvesting of tea leaves, often carried out by smallholder farmers, particularly in countries such as Kenya where a large share of production comes from small-scale producers. After harvesting, the leaves undergo several processing stages that determine the final quality and characteristics of the tea. These stages generally include withering, rolling or cutting, oxidation (also referred to as fermentation), drying, and sorting. Each step plays a critical role in developing the flavor, aroma, and appearance of the final product.

In Kenya, tea production is characterized by a well-organized system where smallholder farmers deliver tea leaves to processing factories, often coordinated through organizations such as the Kenya Tea Development Agency (KTDA), which is responsible for processing and marketing the tea. (Mbadi and Okinda Owuor, n.d.). This highlights that tea production is not limited to farming activities but involves multiple actors and stages within a broader value chain. As a result, production processes are closely linked to coordination, quality control, and external requirements, which may influence how tea is processed and distributed.

2.2 Integration of Sustainability Requirements in Product Development

The integration of sustainability requirements in product development processes is important to study with regard to the research question on the requirements placed on local producers. This is understood through exploring how sustainability requirements emerge from both market demand and regulatory frameworks.

Consumers and regulators are developing an increasingly environmentally conscious way of thinking (Kim and Sim, 2016). Therefore, sustainability requirements are increasingly integrated into production and product development processes as companies respond to this growing demand for ethical and environmentally responsible products (Seuring and Müller, 2008). It is proven that these pressures have resulted in lower emissions from companies who have a low bar of emission to begin with (Kim and Sim, 2016).

These requirements may originate from external standards, such as certification systems, or from internal company strategies (Seuring and Müller, 2008). This pressure from external factors can be seen

through companies participating in global value chains. They are more likely to adopt greener technologies and put more effort into monitoring pollution due to these external pressures (Siewers et al., 2024).

Furthermore, differences can be observed depending on the geographical context in which companies operate (Siewers et al., 2024). Companies in non-EU countries are often more strongly influenced by these external pressures when entering global value chains. The reason for this is that they are exposed to stricter requirements from international markets. In contrast, companies within the EU already operate under more established environmental regulations due to regulatory frameworks.

An example of a regulatory framework is the European Union's Circular Economy Action Plan (2020), which aims to promote sustainable production and resource efficiency. Similar policy efforts can also be observed in Kenya, where the African Union (2024) have set up a ten year plan on increasing integration of sustainability considerations into production systems.

When studying what requirements are placed on local producers it is vital to understand that integrating the above explained requirements from regulatory frameworks often involves adapting processes related to sourcing, production, and quality control to ensure compliance throughout the product lifecycle (Seuring and Müller, 2008).

2.3 Organizational Collaboration in Global Value Chains

Global value chains (GVCs) describe how production processes are formed and distributed across multiple countries and actors. Different stages of the production are carried out by different specialized organizations (Gereffi et al., 2005). This knowledge on GVC frameworks is important to understand how farmers, lead firms, certification bodies, and producers coordinate to meet the requirements for a Fairtrade certification.

In such systems, the production of goods is no longer confined to a single firm but instead involves a network of actors, including producers, exporters, importers, brand owners, and certification bodies (Gereffi et al., 2005). This creates a need for coordination and collaboration between actors to ensure that products meet required standards and specifications.

Organizational collaboration in global value chains is therefore essential, particularly when products must comply with external standards (Barratt, 2004). This collaboration often involves information sharing, transparency, and coordination of activities across organizational boundaries.

Participation in global value chains highlights the collaboration between actors, as firms cannot act independently (Siewers et al., 2024). Companies are more likely to adopt environmentally sustainable practices due to pressure from buyers, regulations, and customer expectations. Moreover, the influence of lead actors and markets on production practices across geographical boundaries can be seen in firms operating in non-EU countries. They are more strongly affected by external requirements when entering global value chains (Siewers et al., 2024).

2.4 Distinction between Production and Product Development

To understand how a Fairtrade certification influences different layers of the value chain the difference between production and product development must be distinguished.

In global value chains, production and product development respresent two interdependant sides when it comes to tea products. Production refers to the physical transformation of raw materials into finished goods through operations. This entails farming, processing, and manufacturing (Clark, 1992). In the context of tea, this includes cultivation, harvesting, and factory-level processing activities that convert fresh tea leaves into a consumable product.

In contrast, product development refers to the process of defining the specifications and characteristics of a product. This happens prior to and during production. Decisions regarding quality standards, product attributes, grading systems, and compliance requirements that determine how production must be carried out are included in product development (Ulrich and Eppinger, 2016). Rather than being a purely physical process, product development translates market demands and requirements into operational instructions for production.

In the Kenyan tea sector, this distinction is reflected in the separation between smallholder farmers and processing factories, which carry out production activities, and downstream actors such as exporters and certification bodies, which influence product specifications and compliance requirements.

2.5 Fairtrade and Sustainability Certificates

Fairtrade is a global sustainability certification system established in the late 1980s with the aim of promoting fairer trade conditions for producers and workers in developing countries (Raynolds et al., 2004). The initiative emerged as a response to inequalities in global trade, particularly affecting small-scale farmers, and seeks to improve livelihoods through minimum pricing, social premiums, and requirements related to labor rights and environmental protection. Today, Fairtrade is one of several sustainability certification schemes used to communicate ethical and environmental attributes of products to consumers (Grunert et al., 2014).

To answer the research question on why actors choose to market their products as Fairtrade, it is vital to examine how Fairtrade operates as a governance and certification system. Because in this study, Fairtrade is not only understood as a certification scheme, but as a governance mechanism that influences both production practices and product development processes across multiple actors in the value chain

2.5.1 Sustainability Certification and Standards

The idea behind sustainability certifications and standards is to follow through with a market-determined quality premium for the involved farmers (Kolk, 2013). This happens with the quality improvement of production and processing.

The amount of products certified by a sustainability certification is growing (Kolk, 2013). Within the EU, sustainability-related legislation has also gained importance, such as placing greater responsibility on companies to ensure transparency and due diligence in their value chains. For example, the EU's

Corporate Sustainability Due Diligence Directive (CSDDD) requires companies to identify and address human rights and environmental risks in their operations and supply chains (European Commission, 2024).

2.5.2 Certification as a System

Global value chains are characterized by changing and diverse market conditions (Ponte, 2003). As a result, the different actors involved are affected in different ways. Based on these differences, it becomes clear that actors in the chain are largely influenced by leading actors. This means that certain actors possess greater influence over the value chain than others. Some actors are more able to influence how production and trade are organized, while others, such as producers and exporters, are more vulnerable to changes in market conditions. Ponte (2003) also explains that lead actors in such systems establish frameworks that shape the standards within value chains. These standards influence both entry barriers and production processes, as participation in the value chain becomes conditional on meeting specific requirements.

A similar system can be observed as part of sustainability certifications, such as Fairtrade. Certification systems introduce standards that affect multiple actors across the supply chain, thereby influencing how production processes are organized and coordinated (Ponte, 2003).

While Fairtrades standards are regarded as instruments for regulation, Dolan (2010) argues that they can be seen as mechanisms of containment that excludes as much as it includes. This happens through prioritizing certain categories of beneficiaries, for example farmers, workers and their families. At the same time, landless laborers and broader local communities receive less attention. As a result, Dolan (2010) explains how certification standards may benefit some actors within the value chain while simultaneously marginalizing others.

2.5.3 Standards and Requirements within Fairtrade

The integration of sustainability requirements in practice is often complex and challenging (Kolk, 2013). Implementation can be difficult, particularly for small-scale producers who may lack the necessary resources and capabilities, this can be seen in the sustainability certification process in agricultural value chains.

FLOCERT is the independent certification body responsible for verifying that producers and companies comply with Fairtrade standards (FLOCERT GmbH, 2026). Through audits and certification processes, they ensure that all actors within the value chain meet the required criteria in order to be Fairtrade certified.

The standard verified by the certification body cover a wide range of requirements related to economic, social, and environmental aspects of production (Fairtrade International, 2024). These include minimum pricing systems, Fairtrade premiums, labor rights such as minimum wages and safe working conditions, as well as environmental practices related to sustainable farming and resource use. As a result, certification requirements are not limited to a single stage but affect multiple phases of the production process, from farm-level activities to processing and distribution.

However, standardized requirements may be difficult to implement in practice. While they aim to ensure

consistency and transparency across the value chain, they may not always align with local conditions, particularly for small-scale producers with limited resources (Kolk, 2013). In addition, compliance often requires administrative capacity and investments that not all producers can meet.

Furthermore, the effectiveness of these standards depends on how they are interpreted and enforced across different actors in the value chain (Gereffi et al., 2005). Power asymmetries between actors may influence how requirements are implemented in practice, where lead actors often define the conditions while producers must adapt to them.

2.5.4 Organizational Structure and Roles

Organizational structures within global value chains are characterized by the distribution of roles and responsibilities among different actors involved in production and trade (Gereffi et al., 2005). Rather than being controlled by a single organization, value chains consist of interconnected actors such as producers, processors, exporters, importers, brand owners, and certification bodies, each contributing to different stages of the product development process.

These actors often have varying levels of influence and responsibility. Lead firms, such as international buyers or brand owners, typically play a dominant role in coordinating the value chain by setting requirements and standards that other actors must follow. At the same time, certification bodies introduce additional layers of governance by defining and monitoring compliance with sustainability criteria.

Understood from Gereffi et al. (2005) the global value chain within all the actors and roles could therefore be explained graphically in Figure 1. A more detailed overview is portrayed in Table 1.

Furthermore, the lack of structural difference between conventional tea trade and that of Fairtrade can be understood from Dolan (2010). The main difference lies in the social premium that Fairtrade factories receive.

Table 1: Overview of Actors and Roles in the Kenyan tea value chain. *Source:* Authors' own illustration based on Gereffi (2005).

Actor	**Role**	**Responsibility in the Process**
1. Producers (farmers)	Raw material production	Cultivation and harvesting of tea leaves
2. Processing factories	Processing	Withering, cutting, drying, grading
2.1 Fairtrade International	Standard-setting	Defines certification criteria
2.2 FLOCERT	Certification body	Audits and verifies compliance
3. Exporters	Distribution	Selling tea to international markets
4. Importers / Brand owners	Market actors	Packaging, branding, selling products

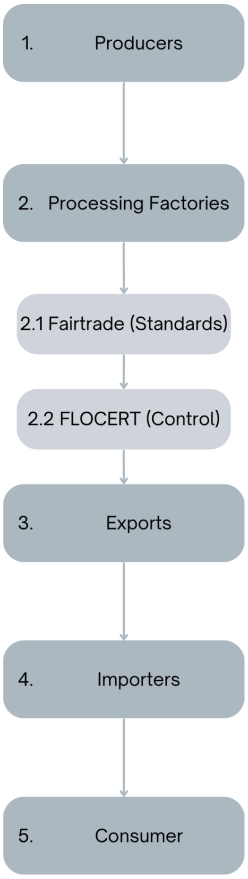


Figure 1: Actors and Roles in a Global Value Chain. *Source:* Authors' own illustration based on Gereffi (2005).

2.6 Incentives for Sustainability Certification

By understanding the incentives for adopting sustainability certifications such as Fairtrade, the research question on why actors choose a Fairtrade certification can be answered. It is important to understand incentives from economic, social, and strategic perspectives. From an economic standpoint, a certification can provide access to new markets and enable producers and companies to receive premium prices for their products. In global value chains, certification may also function as a requirement for entering certain markets, particularly in regions where consumers increasingly demand ethically produced goods (Raynolds et al., 2007).

In addition to economic benefits, social incentives play an important role. Certification systems such as Fairtrade aim to improve working conditions, ensure fair wages, and support long-term development for producers and workers. These goals are often emphasized as key motivations for participation, particularly for actors operating in developing countries (Jaffee, 2012).

On the other hand, the social incentive (USD 0.50 per kg of export value) provided to the workers has been described as appreciated but not enough compensation for the workers to alter their standard of living, nor did it remunerate them for their work (Dolan, 2010).

From a strategic perspective, certification can be used by companies to strengthen their brand image and meet consumer expectations regarding sustainability. As awareness of ethical consumption in-

creases, certification labels may serve as a tool for differentiation and competitive advantage in the market (Grunert et al., 2014).

Figure 2 illustrates how sustainability labels influence consumer behavior through factors such as motivation, trust, understanding, and purchasing decisions (Grunert et al., 2014). The model highlights that sustainability labels function not only as informational tools, but also as signals that influence consumers' perceptions of product quality, ethics, and credibility.

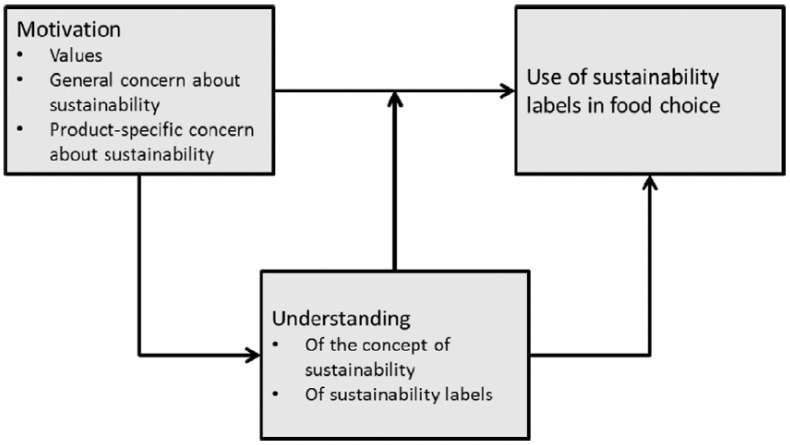


Figure 2: Conceptual model of the influence of labels on consumer behavior. *Source:* (Grunert et al., 2014).

Companies may use sustainability labels strategically to communicate responsibility and strengthen their market position (Grunert et al., 2014). As consumers increasingly associate labels with ethical production and transparency, certifications can create competitive advantages for companies operating in global markets.

Certifications have also been criticized for sometimes functioning more as a marketing tool than as a driver of substantial change. In this context, the concept of greenwashing becomes relevant, referring to situations where companies use sustainability labels or claims primarily to enhance their reputation rather than to implement meaningful improvements (Delmas and Burbano, 2011).

3 Method

In this section the methods used in this project will be presented. This chapter will describe how the theoretical framework was built, how the data was collected and how the respondents were selected.

3.1 Literature Review

In the beginning of this project a literature study was conducted to support the development of the theoretical framework. The purpose was to gain an overview of the current state of knowledge. During the literature review a selection of keywords listed below were used:

tea, industry, production, Kenya, culture, cultivation, farming, growth, Fairtrade, integration, product, development, FLOCERT, process

The selection of sources was based on relevance to the research topics, with a focus on peer-reviewed articles related to the themes above. Both recent studies and widely cited foundational articles were included to ensure a balanced theoretical framework. The literature was collected through the academic database Scopus and the search tool Google Scholar. Relevant articles were also received through the first interview with the Product and Account Manager in Fairtrade Sweden.

3.2 AI-disclaimer

Information regarding the allowed use of AI as well as the implications of wrongful use of AI was provided prior to the start of the thesis.

The report is written with the platform Overleaf. The use of AI in this thesis was limited. Due to English being our second language, AI applications were used to accurately translate words, phrases or finding synonyms. Some of the developed code for LaTex was also generated with the help of AI. Examples of prompts used include:

“Can you help collect the following information in a table for LaTex”

“Find synonyms for...”

Grammatical and word correction checks were also conducted with the help of the integrated AI in Overleaf. Furthermore, with the recommendation of the supervisor, Avidnote was used to transcribe the interviews conducted.

AI platforms used: ChatGPT, Avidnote, Overleaf

3.3 Qualitative Study

The purpose of choosing a qualitative research method was to gain deeper knowledge and insights to the experiences and perspectives of actors involved in the Fairtrade system. The method is not used to measure and generalize results but is meant to increase understanding of the respondents´ experiences (Bryman and Bell, 2017).

3.3.1 Selection of respondents

The selection of respondents was guided by the aim of the study. Therefore, participants were selected based on their involvement in Fairtrade, both in Sweden and Kenya. It was also important to include a factory manager in order to ensure a dual-sided perspective. The more positions within the value chain that were covered in the interviews, the greater the understanding of the research questions would be received.

The initial communication took place via email with Fairtrade Sweden, where the purpose of the study was presented. This subsequently enabled contact with individuals working in Nairobi for Fairtrade Africa, which led to access to a local tea production manager in Kenya, Respondent D. In total, four respondents were included in the study, representing both international and local perspectives within the value chain. An overview of the respondents and their roles is presented in Table 2.

Respondents		
Designation	Organisation	Role
A	Fairtrade Africa	Senior Project Officer
B	Fairtrade Africa	Business Development Advisor
C	Fairtrade Sweden	Product and Account Manager
D	Gatunguru Tea Factory	Tea Factory Manager

Table 2: Respondents and their organisations

Respondents A and B both work for Fairtrade Africa. Respondent A is a program officer responsible for risk management and stakeholder coordination within the tea sector across Kenya, Rwanda, Uganda, and Tanzania. Respondent B is based in Kenya and is responsible for ensuring that tea factories comply with Fairtrade regulations and for supporting them throughout this process.

At Fairtrade Sweden, Respondent C works as a product and account manager, with a focus on tea. She maintains contact with international stakeholders and supports the implementation of Fairtrade certification for companies in Sweden.

Respondent D is a tea factory manager at a small-scale tea factory in Kenya. Their role involves overseeing overall production while also representing the factory in international contexts.

3.3.2 Semi-structured interviews

Five semi-structured interviews were conducted digitally. Two interviews were conducted in Swedish and three in English. Semi-structured interviews do not strictly follow an interview guide, as structured interviews do. Instead, they provide space for a more dialogue-based interview approach, in which follow-up questions and additional questions are encouraged (Bryman and Bell, 2017). With

the respondents' consent, the interviews were recorded and later transcribed. See Table 3 for a more detailed overview of the interviews:

Respondent	Date	Platform	Language	Interview Guide	Time [minutes]
A	11.03.2026	Zoom	English	Appendix B	34
B	11.03.2026	Zoom	English	Appendix B	34
C	03.11.2026	Zoom	Swedish	Appendix A	29
C	03.11.2026	Zoom	Swedish	Appendix A	27
D	07.04.2026	Zoom	English	Appendix C	24

Table 3: Information about the conducted interviews

It should be noted that the two interviews with Respondent C were conducted in Swedish, and the quotations included in this report were translated into English and are presented in Appendix D.

To address the research questions, semi-structured interview guides were developed for the different respondent groups. The first interview guide was designed for Respondent C and focused on understanding Fairtrade as a global organization. Following this interview, the remaining interview guides were developed for representatives from Fairtrade Africa as well as tea factory managers in Kenya. The interview guides are provided in Appendix A, B, and C.

The first interview was conducted with Respondent C. It took place in the early stages of the project and served as an introductory interview aimed at gaining a general understanding of Fairtrade and preparing for the subsequent interviews. The second interview was conducted with Respondents A and B simultaneously over Zoom. Since they were colleagues, they were able to complement each other's responses during the interview. The final interview was conducted with Respondent D and at the same time served as an introductory meeting for the field study.

3.3.3 Empirical Field Study

In addition to the qualitative interviews, a field study was conducted at the tea production facility in Kenya of Respondent D. The purpose of the visit was to support the interview data with direct observations of the production process and to gain a deeper understanding of how Fairtrade certification is implemented in practice.

The field study provided an opportunity to observe different stages of tea production, from harvesting to processing and packaging. This gave a better understanding of how the theoretical concepts and interview responses relate to real-world practices. Furthermore, the field study allowed for informal discussions with local actors, which contributed to additional insights regarding working conditions, production methods, and the role of Fairtrade in the daily operations.

3.4 Data Analysis

After transcription, all interviews were read and analyzed multiple times. The most relevant information from each interview was categorized into similar themes relevant to the research questions. These themes were identified as follows:

1. Why actors choose Fairtrade
2. How actors organize to receive a Fairtrade certification
3. What requirements are placed on producers
4. Challenges and limitations in achieving Fairtrade certification

The themes from the interviews were collected in a table and thereafter color-coded according to each theme to more easily identify results belonging to the same theme. Table 4 presents the coding framework used to structure the data. It was not only relevant what was said during the interview ("Quote"), but also which research question the theme related to, at which stage in the production process the information occurred ("Process step"), and who said it ("Respondent").

Quote	Code (Theme)	Research Question	Process Step	Respondent

Table 4: Coding structure used in the analysis.

3.5 Credibility and Reliability Analysis

The reliability of the study is supported by the use of interview guides, ensuring consistency across interviews. All the interviews were recorded and transcribed.

The internal credibility of the study is reflected in how the conclusions are based on the previously collected data. In the same way, all parts of the report build upon one another. The credibility of the results is also strengthened through the combination of interviews and field observations, allowing for triangulation of data sources and a wider understanding of the production process. Furthermore, including perspectives from both Fairtrade Sweden and Fairtrade Africa contributed to a broader understanding of the collected data. However, the limited number of respondents may have influenced the accuracy of the analysis and results. Difficulties in maintaining communication via email led to only one factory visit being conducted. It would also have been beneficial to include FLOCERT's perspective in this study, but contact with the organization could not be maintained.

All interviews were conducted over Zoom, three of which were with respondents based in Kenya, where the language of the interview was English. Connectivity issues as well as language barriers were experienced during these interviews. These communication issues may also have impacted the credibility of the collected results.

As this study was conducted across two countries, it is also important to reflect on cultural differences. Ways of expressing oneself, as well as the interpretation of gestures, may differ depending on the country and culture involved. Kenya is generally a more formal country than Sweden, which was something that had to be learned on site. Moreover, differences in perceptions of time were also observed. Compared to Sweden, Kenya relied more on a slower pace, where meetings could begin up to 30 minutes after the agreed time.

4 Results

The following chapter presents the empirical findings of the study based on the conducted interviews and field observations. The results are structured according to the study's research questions and focus on motivations for Fairtrade certification, organizational collaboration within the value chain, and how certification requirements are integrated throughout the tea production process.

4.1 Why actors choose Fairtrade certification

Receiving a Fairtrade certification is motivated with different reasons: economic, social and environmental. For example, the product and account manager from Fairtrade Sweden highlights the added value of certification from a market perspective:

> *"It is not only about placing a product on the shelf, it represents something more... it adds value for consumers."*
>
> *–Product and Account Manager, FS*

In addition, the Senior Project Officer, explained that Fairtrade has three goals as an organization. The first is to provide consumers with easy access to the Fairtrade market. The second is to provide workers and producers with better livelihoods. The third goal is to build capacity among producers and workers.

4.1.1 Economic motivations

To further understand why actors choose to be Fairtrade, the factory manager explains how economic incentives are highlighted as a key driver for certification. They explain how they have tea traders, tea consumers and buyers who are ready to pay a premium price for their products. In return they get a guarantee that the producers and workers get their fair share in the process.
The product and account manager further emphasizes the importance of market access:

> *"They can gain access to a larger market and sell their products internationally."*
>
> *–Product and Account Manager, FS*

Furthermore, they highlight that certifications can contribute to long-term business stability through a more secure trade relationship and increased transparency in the supply chain.

4.1.2 Social motivations

On a social level, Fairtrade is described as offering producers the chance to provide farmers stability. The Business development advisor mentions:

"We also use quite an amount of the money into supporting the farmers take their children through school and as well as in cases of disaster... we kind of try to assist the farmers come back to their near normal life using the premiums."

–Business Development Advisor, FA

4.1.3 Environmental motivations

Environmental incentives are highlighted as an important motivator for receiving a Fairtrade certification. The tea factory manager explains how a large percentage of the premium goes towards climate action and conserving the environment by planting trees and conserving the soil in the plantation area.

4.2 How actors organize to achieve Fairtrade certification

The business development advisor for Fairtrade Africa clarifies that they have a growing number of Fairtrade-certified tea producing organizations in Kenya. Currently, they have 24 tea factories that are certified, which is expected to increase to 27 by the end of the year.

The process of receiving certification differs between factories, and the support provided by Fairtrade extends beyond simply setting requirements. The Senior Project Officer for Fairtrade Africa explains:

"You don't only support producers by giving them the certification, you also support them in the process of receiving it."

–Senior Project Officer, FA

The business development advisor further explains that it is part of the compliance requirements that each producing organization must have a designated contact person. In this way, there is a direct line of communication between the organization and Fairtrade. In tea production, this contact person is usually the factory manager.

The factory manager explains that each factory has a specific management committee responsible for governing the premium received from Fairtrade. This management committee is made up of three women and three men, who together govern the premium. The governance structure also includes requirements related to non-discrimination. The Factory Manager further explains the benefits of this structure:

"It's totally managed separately so that its impact can be measurable and can be monitored easily."

–Factory Manager

By having a specific management committee, the factory can ensure that the premium is distributed fairly among workers and producers, and that it is allocated where it is most needed.

Furthermore, the factory manager explains that becoming certified has led to changes in how workers and producers are trained across tea farms. This includes training related to sustainability practices,

working conditions, and awareness of Fairtrade principles, which supports producers in meeting certification requirements.

4.3 Requirements Placed on Producers at Different Stages of the Production Process

The factories' ability to meet the requirements for obtaining a Fairtrade certification differs depending on when in the product development process the factory chooses to obtain certification. The factory manager explain how they obtained it later in the process. They explain that Fairtrade certification was a way to keep up with changes in the global business environment, and that they have been Fairtrade certified since 2016.

4.3.1 Requirements before certification

Before certification, the tea factory manager explains:

> *"From the beginning of the process at the farm it's very critical that you implement the Fairtrade requirements."*
>
> *–Factory Manager*

They further explained that the first steps in obtaining Fairtrade certification involved assessing the current situation at the tea farms they managed, followed by conducting a risk analysis to identify what needed to be changed. It was important for the factory manager to act quickly in order to obtain certification within a year.

The business development advisor emphasizes that formal requirements for obtaining Fairtrade certification include being legally registered as a company or cooperative. They also explain:

> *"We don't certify every producer organization, not unless they demonstrate ability to sell"*
>
> *–Business Development Advisor, FA*

Not all organizations can be certified, as producers must demonstrate their ability to sell their product. This requirement is linked to the Fairtrade system, where certified producers receive a premium intended to support sustainable production.

4.3.2 Requirements at farm level

Changes were implemented at multiple stages, including at the farm level. The factory manager describes how training was introduced for farmers, with a focus on issues such as empowerment, gender equality, and environmental practices. This was identified as a new approach compared to previous practices. Furthermore, the factory manager outlines that farmers were reassured that they would receive a minimum reserve price if they maintained the required quality standards under Fairtrade.

The factory manager describes:

> *"Packing tea, processing the tea, selling the tea. We also had to train the farmer on the ethical part of that process."*
>
> *–Factory Manager*

The business development advisor also emphasizes the importance of ensuring that workers receive country-specific minimum wages:

> *"If a country has minimum wage that have been published, then you must be paying your workers with those minimum wages."*
>
> *–Business Development Advisor, FA*

4.3.3 Requirements at factory level

The business development advisor also explains the importance of complying with local laws related to safety. If a corporation does not follow local regulations, a certification cannot be obtained. This also applies to environmental practices, where the use of prohibited chemicals and methods is not allowed.

4.3.4 Requirements at later stages

The findings indicate that Fairtrade requirements are not limited to production and farm-level activities, but extend to later stages of the value chain. The product and account manager explains that all actors involved in handling the product must be certified:

> *"All parts of the value chain must be certified, even if the activity is as simple as labeling a product."*
>
> *–Product and Account Manager, FS*

Furthermore, they explain that requirements may differ depending on the role of the actor. For example, companies that handle already finished products may only require a license rather than full certification, indicating that requirements vary depending on the stage and function within the value chain.

4.4 Challenges and limitations in achieving Fairtrade certification

Achieving a Fairtrade certification takes time and does not come without challenges. The senior project officer illustrates how the commissioning organization FLOCERT takes up to two months to check and approve all documentation, after which tea factories receive certification. In cases where factories do not uphold the certification requirements, they are given up to six months to comply. If they fail to do so, they must begin the application process again.

Implementing a Fairtrade certification was not an easy process. They had to invest significant effort in sensitizing workers, management, and company owners regarding wage requirements. The factory

manager outlines that this was met with some resistance, and that it took time to get all actors involved in the production process to comply with the Fairtrade standards. They highlight:

> *"So a lot of education had to be training and education had to be done, especially the first year."*
>
> *–Factory Manager*

Furthermore, the factory manager describes that potential challenge lies in spreading and continuously engaging tea traders across the world with Fairtrade. In the hope that the Fairtrade market will grow, the factory manager highlights the importance of increasing the number of tea traders who prefer Fairtrade-certified products.

4.5 Field Study

To further understand the tea production process, how Fairtrade is implemented in the production process, as well as the motivations and benefits behind it, a field study was conducted. This was carried out at Gatunguru Tea Factory in Kenya, a tea factory producing black breakfast tea. Here, we shadowed Respondent D for a day, observing the production process and gaining practical insight into the factory's daily operations.

4.5.1 Tea Production Process

The tea production process starts on the farm. The top bud of the tea plants is plucked by hand and collected in a basket. After harvesting, the baskets of tea leaves are transported to the factory where the leaves undergo several processing steps. Before the process begins, the trucks arriving at the factory are weighed in order to register the amount of tea produced per day. Below, in Figure 3, the production flow diagram is presented. This diagram was displayed outside the entrance to the factory. The individual steps are explained in more detail below.

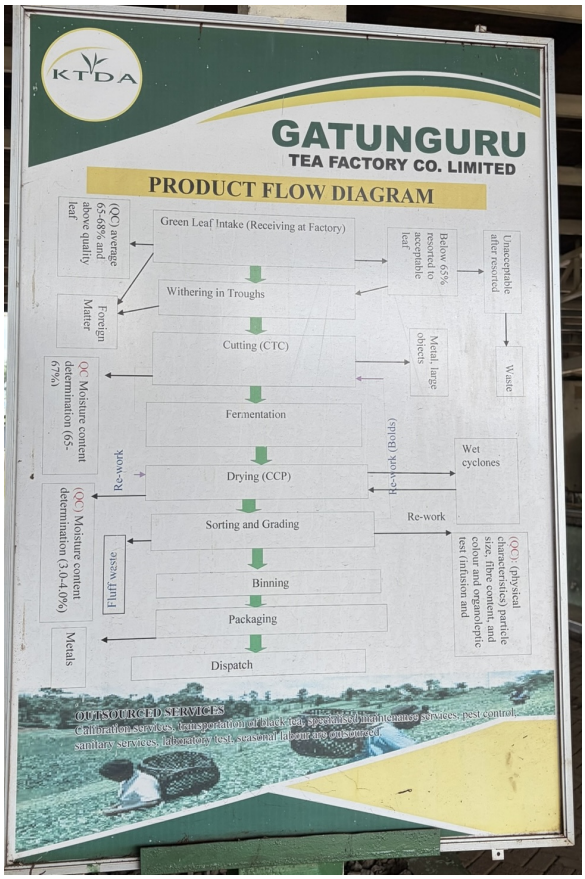


Figure 3: Product flow diagram observed during the field study at Gatunguru Tea Factory, Kenya. *Source:* Aina Bergman and Marianne Simani-Lidjan.

Withering

The first step is withering the leaves. Here, the leaves are placed on a vibrating conveyor belt where they are separated through movement. Traditional practices involved carrying out this step by hand. To increase time efficiency, machine processes are implemented in factories. In Figure 4 below, the process can be viewed.

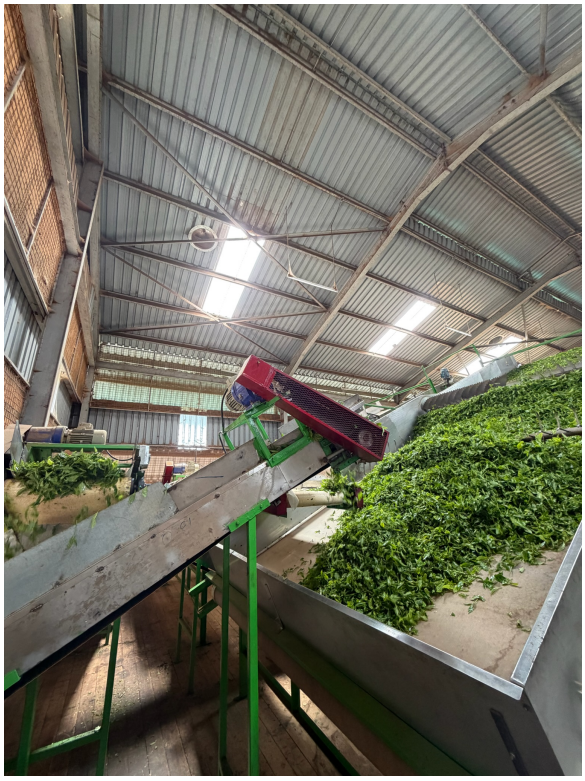


Figure 4: Withering process at Gatunguru Tea Factory. *Source:* Aina Bergman and Marianne Simani-Lidjan.

Cutting

After withering, the tea leaves are either cut three times by machine or rolled if orthodox tea is produced. This process is also conducted on conveyor belts operated by a mechanical engineer.

Fermentation

After being cut or rolled to the preferred state, the fermentation process begins. Depending on the tea type, different fermentation times are used. Green tea is not fermented and goes directly to the next process. At the visited factory, only black breakfast tea was produced, which had a fermentation time of 90 minutes.

Drying

For drying, a mix of heated oxygen and fire is used to dry the tea leaves. It is important that this happens directly after fermentation, to halt the fermentation process. After drying there should only be about three percent moisture content lest in the leaves.

Packaging and Grading

For cut leaves, the tea leaves are sorted depending on their cut size after drying. They are thereafter graded. A smaller size of leaf results in a higher grade of tea, while a larger size results in a lower grade. The grade reflects how rich the brewed tea is in taste. The different tea grades can be viewed in Figure 5.



Figure 5: Different grain sizes of tea, sorted from highest grade to lowest grade. *Source:* Aina Bergman and Marianne Simani-Lidjan.

Different grades of tea are used in different parts of the world. For example, higher grades of tea are more commonly used in the Middle East, whilst lower grades are sold in other markets. After drying and grading, the tea is packaged and prepared for distribution.

Quality Control

Quality control of the tea produced was conducted every hour at the factory. Here, the tea was visually inspected as well as tasted, and any irregularities leads to changes being made in the production process. We were able to observe such a process, where irregularities in the cut were identified for a certain tea type. This meant changing the machine settings in the cutting machine to ensure that the next batch was up to standard.

4.5.2 Value chain organization

Most of the tea produced at Gatunguru Tea Factory is sent to Mombasa, Kenya, where it is sold through a tea auction. According to the factory manager, the auction is held online twice a week and follows a bidding system in which the highest bidder purchases the tea lots.

The factory manager further emphasizes that finished tea products are rarely exported directly outside Africa due to tariff structures:

> *"The tariffs imposed make it more worth to export the raw material instead of a finished product."*
>
> *–Factory Manager*

They explain that as a result, buyers in other countries often carry out later stages of the value chain themselves, such as packaging, branding, and domestic distribution. According to the factory manager, the auction system offers several benefits, including access to international buyers and greater price transparency within the market.

Most of the tea sold from Gatunguru Tea Factory is exported to the United Kingdom. Later stages such as branding and packaging are retained in importing countries, where higher value-added activities often take place.

Some tea is also sold directly from the factory to larger tea companies. According to the factory manager, these transactions are based on long-term business relationships that have been developed over time. This structure shows that although tea is produced in Kenya, parts of the final market value are captured further downstream in consumer markets.

The organization within the factory was also highly hierarchical. There was a group of board members, followed by a factory manager who had the main responsibility for the overall coordination of the production process. In addition, each individual stage of the process had its own manager. Mechanical and electrical engineers operated the machines, factory workers worked with the machinery, and farmers plucked the tea buds. In total, over 9,000 farmers were involved in the operations across 8,000 acres of tea plantation.

4.5.3 Perceptions of Fairtrade Among Local Actors

During the field study at Gatunguru Tea Factory, informal discussions were also held with workers and representatives involved in the production process. Several of the people spoken to expressed positive attitudes towards Fairtrade and described the certification as beneficial for both workers and local communities. One worker explained that another tea factory in her hometown had also benefited from Fairtrade certification and stated that:

> *"Fairtrade has done a really good job there."*

They further explained that Fairtrade had contributed to improving conditions for farmers, tea pickers, and workers by supporting local development initiatives and creating better opportunities for workers and their families.

4.5.4 Fairtrade Requirements in Practice and Observed Benefits

The factory manager describes that the factory is entirely owned by farmers, who play a central role in driving its development. The farmers are also actively involved in improving operational systems and infrastructure. For example, a collection house was constructed to facilitate the handling and packing of tea leaves harvested during the day. According to the factory manager, this investment was made possible through financial support provided by the factory

From a sustainability perspective, the factory manager explains that no pesticides are used for tea cultivation. It is a natural process, and since pests do not occur in Kenya, pesticides do not need to be integrated into the process. Additional watering is also not carried out on site, in order to conserve water. The farmers rely on the natural rainy season to keep tea production going. They further emphasize that a poor rainy season negatively affects tea production, but that there is nothing they can do about it.

The entire factory was also entirely operated by self-produced electricity. They had their own hydro plant in the local stream that produced electricity for the factory. Furthermore, a large part of the steam that arose during the fermentation process was also reused during the drying process. Respondent D placed great importance on sustainability being one of the most important aspects for the factory manager, and that they constantly develop their processes to strengthen the factory from a sustainability perspective.

The respondents spoken to on site have seen a difference with Fairtrade as an organization. An employee in the management group recounts how the premium they receive from the organization has not only helped the factory, but also factories in her hometown have been positively affected by Fairtrade's impact. There, schooling for the workers' children has been covered by the Fairtrade operations.

4.5.5 Motivations

The factory manager highlights how their wish is for more factories to become Fairtrade certified, and how their mission is to inspire other operations by having a Fairtrade-certified operation themselves. The end goal is to influence the consumers' thought process and for them to understand the work that goes into the tea bags they consume.

5 Analysis and Discussion

In the following chapter, the findings are discussed in relation to the study's research questions and theoretical framework.

5.1 Fairtrade as a Market Strategy

As Siewers (2024) explains, the reason for wanting to obtain a Fairtrade certification can be due to outside pressures. This was confirmed by the factory manager during their interview, where they explain how the reason for obtaining their Fairtrade certification was to keep up with changes in the global business environment. Pressure from buyers, regulations, and customer expectations leading to companies to adopting more sustainable practices is further explained by Siewers (2024). The product and account manager also touches on this, explaining that becoming Fairtrade certified is more than placing a product on a shelf, it also adds value for consumers. This highlights how, in addition to social, economic, and environmental motivations, there is also a business motivation behind becoming Fairtrade certified. It also demonstrates that Fairtrade influences product development by shaping the total value offered to consumers. The certification becomes part of the product itself rather than merely a production requirement. This can also be verified, as the product and account manager also describes how producers gain access to a larger market and that this can contribute to long-term business stability.

Kolk (2013) highlights that Fairtrade offers a market-determined quality premium for the involved farmers through quality improvements in production and processing. Jaffee (2012) continues by explaining how social motivations, such as premiums, are often emphasized as key motivations for actors in developing countries. This can also be observed through the respondents. For example, the business development advisor describes how the money received has supported farmers' children in attending school. The factory manager also highlights how the premium and economic motivations are key drivers behind obtaining certification. Fairtrade certification can therefore be understood as a tool that enables both increased revenue and long-term economic security for actors in the value chain. This reflects how economic incentives are embedded in both market dynamics and the structure of the Fairtrade system.

Grunert (2014) explains how Fairtrade can strengthen brand image and meet consumer expectations in order to gain a competitive advantage on the market. Through the field study visit, it became apparent that the later stages of the value chain, such as packaging, branding, and domestic distribution, are mainly conducted by the buyers. The producers in Kenya therefore do not have direct contact with the consumer market, as they sell raw material to companies that later package and distribute the products to consumers. Being Fairtrade certified does not necessarily provide producers with a direct branding advantage, other than making their products more attractive to companies seeking to strengthen their own brand image. Furthermore, the raw material is sold to the highest bidder, meaning that producers have limited control over who ultimately purchases their product. This reflects how branding advantages associated with Fairtrade may primarily be captured by downstream actors and consumer-facing companies rather than by the producers themselves.

5.2 Organization and Coordination in the Value Chain

The different stages of production described by Gereffi (2005) and how they are carried out by different specialized organizations became clear during the field study. Not only did we get the chance to observe the production process and the actors involved therein, but we also gained a better understanding of the actors outside of the production process and when they become involved. A large part of the process is carried out by farmers and workers, from the plantation stage to the auction stage. Barrat (2004) also explains the importance of organisational collaboration when products need to comply with external standards. Information sharing, transparency, and coordination are important in such systems. The business development advisor explains how there is a designated contact person for Fairtrade at each factory, namely the factory manager, which was the role Respondent D worked in. It was interesting receiving both perspectives, the contact person from both sides. This system improves efficiency between Fairtrade and the factories, but one consequence is that certain actors, such as farmers, may never get the chance to communicate their point of view directly.

The senior project officer illustrates how producers are not only given requirements, but also receive support in obtaining the certification. This strengthens Barrat's (2004) argument regarding organizational collaboration and how it is essential when products need to comply with external standards. It also reflects Ponte's (2003) argument that lead actors establish frameworks that shape the standards within value chains. Fairtrade would not need to provide such support unless they understood that implementing change requires both time and resources. In this sense, Fairtrade acts as a lead actor establishing new frameworks while simultaneously helping producers implement them.

Dolan (2010) explains how the Fairtrade premium may exclude as much as it includes, where some beneficiaries receive less attention than others. The factory manager, however, describes how they actively work against this through their managing committee, which ensures that the premium is distributed fairly among workers and producers. She explains that the premium is allocated where it is needed the most. The business development advisor also highlights how the premium can support communities during cases of disaster or help farmers send their children to school. In such a system, it is natural that certain beneficiaries may become excluded. However, the findings indicate that exclusion does not always occur in the way Dolan (2010) describes. For example, during natural disasters at the factory where the factory manager operates, the managing committee discusses the best possible way to allocate the premium.

5.3 Integration of Fairtrade Requirements Throughout the Product Development Process

Kolk (2013) describes that smaller producers may lack the administrative capacity and financial investments required to meet compliance requirements. In their interview, the factory manager reveals how they wish that more farms operated through Fairtrade and hoped to inspire other factories to become certified. This shows that many farms are not yet Fairtrade certified, as certification may not always be prioritized due to the resources and changes required.

Standardized requirements can be difficult to implement in practice, as they do not always align with local conditions, as demonstrated by Kolk (2013). The business development manager highlights how certification cannot be obtained if a corporation does not comply with local regulations regarding safety

and wages. This shows that a Fairtrade certification is dependent on compliance with local laws before Fairtrade requirements can be implemented, suggesting a hierarchy of requirements. They continue by explaining how producers cannot become certified unless they demonstrate an ability to sell their products. This indicates that it is more difficult for newly established producers to obtain Fairtrade certification from the beginning, as they may initially lack market access and established trade relationships. Following local regulations and demonstrating the ability to sell products are therefore essential requirements for receiving a certification.

Seuring (2008) highlights how process adaptation can be a direct result of integrating Fairtrade requirements. This is related to sourcing, production, and quality control. The results showed that these process adaptations arise at multiple levels, including before certification, at farm level, at factory level, and during later stages of the value chain. This demonstrates how Fairtrade requirements influence the entire production process, from start to finish.

Furthermore, the findings indicate that Fairtrade requirements are not limited to the production stage alone. The product and account manager explains how requirements continue throughout later stages of the value chain, where even finished products must be handled according to Fairtrade standards. This suggests that Fairtrade requirements are integrated throughout the entire value chain rather than affecting only one isolated stage of the production process.

However, understanding why these requirements emerge at different stages requires a broader value chain perspective, which is discussed in the following section.

5.4 Why Fairtrade Requirements Emerge at Different Stages

As observed during the field study, the production of tea is carried out in Kenya. The whole process, from cultivation, harvesting, withering, fermentation, drying, grading, and packaging at the factory level, is carried out there. These processes are operational and physically transform raw tea leaves into a tradable product.

Yet, even though tea production occurs primarily in Kenya, the development of the final Fairtrade tea product occurs across the entire value chain through collaboration between multiple actors. Product development cannot be viewed in a traditional sense. Rather, product development is viewed as the creation and maintenance of the certification framework that defines what Fairtrade tea is, with Fairtrade tea being the product on grocery store shelves. From the theoretical framework, this product development can be understood as the standard-setting by Fairtrade International, auditing by FLOCERT, and the interpretation of requirements by buyers and exporters.

Gereffi (2005) highlights that lead firms, such as international buyers or brand owners, typically play a dominant role in coordinating the value chain by setting requirements and standards that other actors must follow. From the field study, it is also understood that each stage of the process has its own manager who has responsibilities related to complying with these requirements. A Fairtrade label on a product can therefore not exist without the coordination of the actors involved, as different actors are responsible for different parts of creating the final Fairtrade product.

The reason Fairtrade requirements appear across multiple stages is that certification requires continuous traceability and compliance throughout the value chain. As portrayed in Section 5.3, requirements follow the entire production process, from the beginning of production to labeling and export. The

factory manager also described this during the interview. At the farm level, farmers must be taught requirements related to environmental practices, gender equality, and wage standards. At the factory level, compliance with national labor laws, safety regulations, and environmental restrictions is required before certification can be granted. At later stages, actors involved in labeling or handling finished products must be certified. It can therefore be understood that all parts of the value chain must maintain Fairtrade integrity.

Gereffi (2005) also highlights how, in GVC systems, the production of goods is not confined to a single firm. Instead, it involves a network of actors, including producers, exporters, importers, brand owners, and certification bodies. Gereffi further highlights how this creates a need for coordination and collaboration between actors to ensure that products meet required standards and specifications. These findings extend Gereffis (2005) GVC theory. Certification-based value chains can no longer be seen as linear systems in which requirements are set at a single upstream point and then transmitted downstream. Instead, Fairtrade certification functions as a multi-level governance system, where requirements are continuously translated and enforced across production, processing, and distribution.

From this perspective, product development in Fairtrade value chains gains a different meaning. Production and product development are structurally separated but operationally interconnected: production refers to the physical transformation of tea in Kenya, while product development refers to the institutional design of standards that shape how production must be carried out.

6 Conclusions and Future work

The following chapter presents the findings of the study based on interviews and field observations conducted in Sweden and Kenya.

6.1 Conclusions

This study is aimed to investigate how different actors within the Kenyan tea value chain organize and collaborate in order to receive a Fairtrade certification, as well as how the requirements within Fairtrade are integrated throughout the product development process.

A key finding of this study is that actors choose to work towards a Fairtrade certification due to a combination of economic, social and environmental motivations. For the workers and producers economic incentives are grounded in the extra premium they receive from Fairtrade. For companies the certification becomes part of the product itself rather than merely a production requirement. This can present a new branding advantage helping firms keep up with changes in global business.

To receive a Fairtrade certification collaboration within the global value chain is important. Fairtrade, producers, factories, exporters, and buyers all contribute to coordinating and implementing sustainability requirements throughout the product development process. Communication between Fairtrade and factories is primarily managed through the factory manager, which increases efficiency but at the same time limits direct interaction with other worker groups. Unless buyers directly source tea from the factory, most tea is sold through auctions. The factory does not control who purchases the tea or what happens to it after the sale, as it is allocated to the highest bidder. This illustrates the limited control producers have over downstream value chain activities.

Every actor in the value chain has their own role in making sure that the end product complies with Fairtrades standards. At the farm level, farmers must be taught requirements related to environmental practices, gender equality, and wage standards. At the factory level, compliance with national labor laws, safety regulations, and environmental restrictions is required before certification can be granted. At later stages, actors involved in labeling or handling finished products must be certified or licensed.

Overall, these requirements for a Fairtrade certification emerge throughout all stages of the global value chain. A Fairtrade label on a product therefore depends on continuous coordination between actors, where each contributes to different parts of producing the certified tea-product that aligns with Fairtrade standards and values. This highlights that Fairtrade certification functions as a multi-level governance system rather than a linear product development process.

6.2 Recommendations and Future Work

Recommendations for Fairtrade: For Fairtrade, greater transparency is recommended, particularly in terms of providing concrete numbers and clear information regarding the process of obtaining a Fairtrade certification. From the beginning of this research, it became clear that there is limited research regarding global value chains and the specific points at which Fairtrade has its impact. The results showed that Fairtrade standards affect all parts of the global value chain. If this were to be presented

more concretely in Fairtrade's reports and documents, it would not only be beneficial for studies like ours but also support their mission of promoting a more environmentally conscious way of thinking.

Recommendations for future studies: A large amount of the information regarding Fairtrade's impact on communities was obtained through interviews and verbal accounts. Future research would therefore benefit from more in-depth fieldwork, including direct visits to sites where Fairtrade has contributed, in order to validate and deepen these findings.

Future Work: An interesting area for future research could involve investigating Fairtrade certification from the perspective of additional actors within the value chain, such as FLOCERT. Including these perspectives would provide a broader understanding of how sustainability requirements are interpreted and implemented across different stages of the value chain. This is something we intended to explore but, due to the scope of the course, would have resulted in a project that was too extensive.

References

Alveus (2025) *Kenyan Tea: Unlimited Potential for the Global Market*. Available at: https://www.alveus.eu/blog/kenya-tea/

African Union (2025) *Continental Circular Economy Action Plan for Africa (2024–2034)*. Available at: https://au.int/en/node/45336

Barratt, M. (2004) "Understanding the meaning of collaboration in the supply chain", *Supply Chain Management*, 9(1), pp. 30–42. https://doi.org/10.1108/13598540410517566

Bryman, A. and Bell, E. (2017) *Företagsekonomiska forskningsmetoder*.

Clark, K.B. and Fujimoto, T. (1992) *Product Development and Competitiveness*. Graduate Academic Press.

Delmas, M.A. and Burbano, V.C. (2011) *The Drivers of Greenwashing*. https://journals.sagepub.com/doi/10.1525/cmr.201

Dolan, C.S. (2010) "Virtual moralities: The mainstreaming of Fairtrade in Kenyan tea fields", *Geoforum*, 41(1), pp. 33–43. https://doi.org/10.1016/j.geoforum.2009.01.002

European Commission (2024) *Corporate Sustainability Due Diligence Directive (CSDDD)*. Available at: https://commission.europa.eu/topics/business-and-industry/doing-business-eu/sustainability-due-diligence-responsible-business/corporate-sustainability-due-diligence

European Commission (2020) *A New Circular Economy Action Plan: For a Cleaner and More Competitive Europe*. Available at: https://environment.ec.europa.eu/strategy/circular-economy-action-plan$_en$

Eurostat (2016) *Sustainable Development in the European Union: A statistical glance from the viewpoint of the UN Sustainable Development Goals*.
Available at: https://ec.europa.eu/eurostat/documents/3217494/7745644/KS-02-16-996-EN-N.pdf

Fairtrade Africa (n.d.) *Tea Product Sheet*. Available at: https://fairtradeafrica.net/wp-content/uploads/2021/08/Tea-Product-Sheet-FA.pdf

Fairtrade International (2018) *FAIRTRADE Mark Guidelines Issue 2 – Spring 2018*. Available at: https://www.fairtrade.net/content/dam/fairtrade/fairtrade-international/fairtrade-marks/FM-Guidelines-Issue-2-2018

Fairtrade International (2024) *Fairtrade Trader Standard*. Available at: https://www.fairtrade.net/standards.html

Fairtrade International (2025) *Africa and the Middle East Monitoring Report*. Available at: https://www.fairtrade.net/content/dam/fairtrade/fairtrade-international/library/2026/monitoring-report-17th-ed/Fairtrade

Feng, X. et al. (2023) "A systemic review on Liubao tea: A time-honored dark tea with distinctive raw materials, process techniques, chemical profiles, and biological activities", *Comprehensive Reviews in Food Science and Food Safety*, 22(6), pp. 5063–5085. https://doi.org/10.1111/1541-4337.13254

FLOCERT GmbH (2026) *Fairtrade Assurance: Rules and Guidelines*. Available at:

https://www.flocert.net/app/uploads/2026/01/Fairtrade-Assurance-Rules-Guidelines.pdf

Food and Agriculture Organization of the United Nations (2022) *International Tea Market: Market Situation, Prospects and Emerging Issues*. Available at: https://openknowledge.fao.org/handle/20.500.14283/cc0238en

Food and Agriculture Organization of the United Nations (2024) *Executive Summary*. Available at: https://openknowledge.fao.org/server/api/core/bitstreams/f0ae2b1e-f24c-4847-b1d5-0ce182b298f1/content/state-of-food-and-agriculture-2024/executive-summary.htmlgsc.tab=0

Gereffi, G., Humphrey, J. and Sturgeon, T. (2005) "The governance of global value chains", *Review of International Political Economy*, 12(1), pp. 78–104. https://doi.org/10.1080/09692290500049805

Getz, C. and Shreck, A. (2006) "What organic and Fair Trade labels do not tell us: Towards a place-based understanding of certification", *International Journal of Consumer Studies*, 30(5), pp. 490–501. https://doi.org/10.1111/j.1470-6431.2006.00533.x

Grunert, K.G., Hieke, S. and Wills, J. (2014) "Sustainability labels on food products: Consumer motivation, understanding and use", *Food Policy*, 44, pp. 177–189. https://doi.org/10.1016/j.foodpol.2013.12.001

Jaffee, D. (2012) "Weak coffee: Certification and co-optation in the fair trade movement", *Social Problems*, 59(1), pp. 94–116. https://doi.org/10.1525/sp.2012.59.1.94

Kim, B. and Sim, J.E. (2016) "Supply chain coordination and consumer awareness for pollution reduction", *Sustainability*, 8(4). https://doi.org/10.3390/su8040365

Kimitei, A. (2025) *USDA Commodity and Trade Issues Report*. Available at: https://www.usda.gov/about-usda/general-information/staff-offices/office-chief-economist/commodity-markets/wasde-report

Kolk, A. (2013) "Mainstreaming sustainable coffee", *Sustainable Development*, 21(5), pp. 324–337. https://doi.org/10.1002/sd.507

Mbadi, P.K. and Owuor, P.O. (n.d.) *The Role of Kenya Tea Development Agency Limited in the Small-scale Tea Holder Development in Kenya*

Ponte, S. (2003) *The 'Latte Revolution'? Regulation, Markets and Consumption in the Global Coffee Chain*, 30(7), pp.1099-1122. https://doi.org/10.1016/S0305-750X(02)00032-3

Raynolds, L.T., Murray, D. and Heller, A. (2007) "Regulating sustainability in the coffee sector: A comparative analysis of third-party environmental and social certification initiatives", *Agriculture and Human Values*, 24(2), pp. 147–163. https://doi.org/10.1007/s10460-006-9047-8

Raynolds, L.T., Murray, D. and Taylor, P.L. (2004) "Fair Trade coffee: Building producer capacity via global networks", *Journal of International Development*, 16(8), pp. 1109–1121. https://doi.org/10.1002/jid.1136

Seuring, S. and Müller, M. (2008) "From a literature review to a conceptual framework for sustainable supply chain management", *Journal of Cleaner Production*, 16(15), pp. 1699–1710. https://doi.org/10.1016/j.jclepro.2008.04.020

Siewers, S., Martínez-Zarzoso, I. and Baghdadi, L. (2024) "Global value chains and firms' environmental performance", *World Development*, 173. https://doi.org/10.1016/j.worlddev.2023.106395

Swedenborg, B. (1991) *Svenska multinationella företag och produktiviteten*. Available at: https://hdl.handle.net/10419/94721

Ulrich, K.T. and Eppinger, S.D. (2012) *Product Design and Development*. 5th edn. New York: McGraw-Hill/Irwin.

United Nations (2016) *Goal 8: Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all*. Available at: https://unstats.un.org/sdgs/report/2016/goal-08/

A Interview Guide – Fairtrade Stockholm

Notice that this interview was held in Swedish. The following interview has been translated to English to entertain the standard language use in this report.

Introduction

Hello! We are Aina and Marianne, students at KTH Royal Institute of Technology studying Industrial Engineering and Management. As part of our bachelor's thesis, we are studying how Fairtrade certification is integrated into tea production in Kenya.

Opening Questions

- Do you agree to the interview being recorded?
- Could you briefly introduce yourself and your role?

Fairtrade's Role and Work

- What does your role look like in the work with Fairtrade certification within the tea industry?
- Who are the most important actors you work with in the value chain?
- How does the contact between Fairtrade and producers in other countries, for example Kenya, work?

Certification Process and Requirements

- How does the process work for a producer to become Fairtrade certified?
- What are the most important requirements placed on producers?
- In which parts of the production process do these requirements become particularly important?
- How do you ensure that the requirements are followed in practice?

Collaboration in the Value Chain

- How do different actors (producers, exporters, companies, Fairtrade) collaborate in the certification process?
- What role does Fairtrade have in coordinating or managing this collaboration?
- Who is your main point of contact?
- Are there any challenges in the collaboration between different actors?

Integration in Processes

- How does Fairtrade certification affect companies' production or sourcing processes?
- To what extent do companies need to adapt their ways of working to meet the requirements?
- Would you say that the certification affects the entire process from raw material to finished product?

Incentives and Drivers

- Why do companies choose to work with Fairtrade certification?
- What incentives are there for producers to become certified?
- Do you see differences between different actors in why they engage in Fairtrade?

Closing

- Is there anything important regarding Fairtrade and tea production that we have not asked about?
- Do you have any advice for us in our continued work?

Thank you for your time!

B Interview Guide – Fairtrade Africa

Introduction
Hello! We are Aina and Marianne, students at KTH Royal Institute of Technology studying Industrial Engineering and Management. As part of our bachelor's thesis, we are studying how Fairtrade certification is integrated into tea production in Kenya.

Opening Questions

- Do you agree to the interview being recorded?
- Could you briefly introduce yourself and your role?

About Fairtrade in General

- What is your role within Fairtrade and what does your work involve?
- How do you view Fairtrade being described as a non-profi t organization?
- Do the criteria for Fairtrade diff er depending on the country in which the products are sold?
- What requirements are placed on companies for them to achieve Fairtrade certifi cation?
- How long does it take to obtain Fairtrade certifi cation?

Contacts

- What contact do you have regarding tea production in Kenya?
- Which Swedish/global tea companies do you work with? Do you know wich country is the primary tea exporter for Swedish/global tea companies?
- When you are in contact with tea companies/producers, who do you usually communicate with? (For example, their role—is it the project manager, marketing, etc.?)

Controls

- How are inspections carried out at the producers (tea growers) to ensure that the criteria are met? Are there more actors included?

Fairtrade Africa

- What role does Fairtrade Africa play in the allocation of certifi cation?

Closing

- Thank you for participating in this meeting!
- Do you have any questions for us, about us or our work?
- Do you have any advice for us on how we can further develop our work? Is there anything that you think that we're missing?
- We would appreciate if we could stay in contact during this project and also if you help us get in contact with tea producers in the country.

C Interview Guide – Kenyan Tea Producer/Manager

Introduction

Hello! We are Aina and Marianne, students at KTH Royal Institute of Technology studying Industrial Engineering and Management. As part of our bachelor's thesis, we are studying how Fairtrade certification is integrated into tea production in Kenya.

Opening Questions

- Do you agree to the interview being recorded?
- Could you briefly introduce yourself and your role?

Fairtrade and Requirements

- Are you Fairtrade certified?
- What requirements must you meet to obtain Fairtrade certification?
- Which of these requirements have the biggest impact on your work?
- Have you needed to change your production process to meet these requirements? If so, how?

Production process

- Could you describe your tea production process?
- At which stages of the production process do Fairtrade requirements become important?
- Are there specific phases where these requirements are more critical?

Collaboration and Value Chain

- Which actors are involved in your production process?
- How do you collaborate with other actors (e.g. buyers, exporters, Fairtrade)?
- Who is responsible for ensuring that Fairtrade requirements are met?

Closing

Is there anything important about Fairtrade certification that we have not asked about?
Thank you for your time!

D Translation of Interview Quotations

Page	Original quotation (Swedish)	English translation
15	“Den handlar inte bara om att placera en produkt på butikshyllan, den representerar något mer ... den skapar ett mervärde för konsumenterna.”	“It is not only about placing a product on the shelf, it represents something more... it adds value for consumers.”
15	“De kan få tillgång till en större marknad och sälja sina produkter internationellt.”	“They can gain access to a larger market and sell their products internationally.”
18	“Alla delar av värdekedjan måste vara certifierade, även om det är så enkelt som att märka en produkt.”	“All parts of the value chain must be certified, even if the activity is as simple as labeling a product.”